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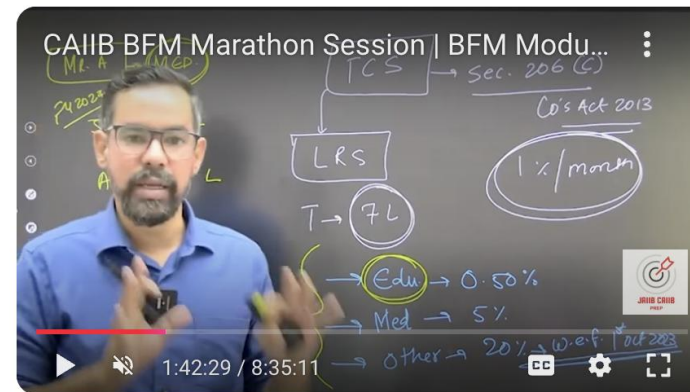
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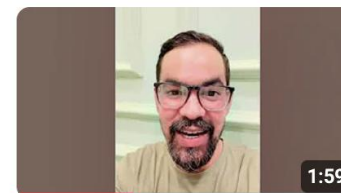
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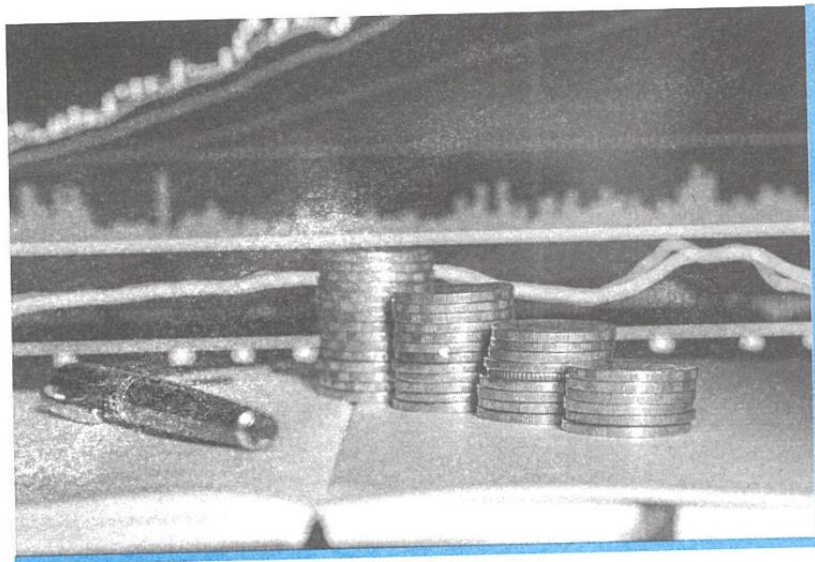


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MODULE C



CREDIT MANAGEMENT

- Unit 17.** Overview of Credit Management
- Unit 18.** Analysis of Financial Statements
- Unit 19.** Working Capital Finance
- Unit 20.** Term Loans
- Unit 21.** Credit Delivery and Straight Through Processing
- Unit 22.** Credit Control and Monitoring
- Unit 23.** Risk Management and Credit Rating
- Unit 24.** Restructuring/Rehabilitation and Recovery
- Unit 25.** Resolution of Stressed Assets under Insolvency and Bankruptcy Code 2016



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UNIT 17

Overview of Credit Management

STRUCTURE

- 17.0 Objectives
- 17.1 Importance of Credit
- 17.2 Historical Background of Credit in India
- 17.3 Principles of Credit
- 17.4 Types of Borrowers
- 17.5 Types of Credit
- 17.6 Components of Credit Management
- 17.7 Role of RBI Guidelines in Bank's Credit Management

Let Us Sum Up

Keywords

Q. Which borrower type is governed by multiple **layers of state-specific and central legislation, depending on operational jurisdiction and nature of activity?**

- A. LLPs
- B. Private Limited Companies
- C. Co-operative Societies
- D. Statutory Corporations

Answer: C

Co-operatives may be subject to state Co-operative Societies Acts, the Multi-State Co-operative Societies Act, or both, depending on whether they operate in one or multiple states. Their legal framework is more fragmented compared to entities governed by uniform central laws.

Q. A bank issues a performance guarantee on behalf of a contractor to a government department. **Which of the following best describes the nature and potential risk of this arrangement?**

- A. Fund-based exposure with fixed repayment terms
- B. Non-fund-based exposure, with no possibility of financial liability
- C. Fund-based exposure with immediate disbursement of funds
- D. Non-fund-based exposure, which may convert into a financial obligation upon invocation

Answer: D

Explanation:

A performance guarantee is a non-fund-based credit instrument where the bank commits to pay on behalf of the customer if certain obligations are not met. If invoked, the bank must disburse the amount to the beneficiary, converting it into a fund-based liability for the borrower.



Q. Which of the following would be **a violation of RBI's guidelines on the end use of working capital finance?**

- A. Using working capital to purchase inventory
- B. Using sanctioned limits to pay salaries and utility bills
- C. Using cash credit limits to acquire shares in an associate company
- D. Using funds for routine maintenance of machinery

Answer: C

Solution:

Working capital finance is meant to support short-term operational needs. Acquiring shares in associate companies is considered a non-permissible use, as it constitutes an investment activity rather than a working capital requirement. Such diversion is explicitly cautioned against in RBI guidelines.



Q. Consider the following statements **related to Priority Sector Lending (PSL)**:

1. Loans up to ₹50 crore to Startups, as defined by the Ministry of Commerce and Industry, qualify under PSL without needing classification under MSME.
2. Loans to renewable energy projects up to ₹30 crore per borrower qualify under PSL.
3. Loans to Farmer Producer Companies engaged in farming are eligible under PSL up to ₹5 crore.
4. Bank loans up to ₹10 crore for setting up healthcare infrastructure in Tier I cities are classified under PSL.
5. Loans given to MFIs for on-lending to SHG members for sanitation facilities qualify under PSL Social Infrastructure.

Which of the above statements are correct?

- A. 1, 2, and 5 only
- B. 1, 2, 3, and 5 only
- C. 2, 3, and 5 only
- D. 1, 3, and 5 only



Answer: B

Solution:

Statement 1 – Correct: Startups loans up to ₹50 crore qualify directly under PSL.

Statement 2 – Correct: Loans to renewable energy projects are eligible under PSL up to ₹30 crore per borrower.

Statement 3 – Correct: Farmer Producer Companies loans up to ₹5 crore are covered under PSL.

Statement 4 – Incorrect: Healthcare loans qualify under PSL only in Tier II to Tier VI centres, not Tier I cities.

Statement 5 – Correct: Loans to MFIs for sanitation-related on-lending to SHGs qualify under PSL Social Infrastructure.

Q. For a foreign commercial bank with 15 branches, what is the maximum percentage of its Adjusted Net Bank Credit (ANBC) that can be **lent specifically to exports while still being counted toward the total Priority Sector Lending (PSL) target?**

- A. 8%
- B. 10%
- C. 32%
- D. 40%



Answer: C

Solution:

Foreign banks with less than 20 branches have an **overall PSL target of 40% of ANBC**. Of this, **lending up to 32%** can be for exports. This means that export loans can contribute up to 32% of the total PSL target, while at least 8% must be lent to other priority sectors.



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Q. Up to what loan amount are banks prohibited **from charging any loan-related or adhoc service/inspection charges on priority sector loans?**

A. ₹10,000

B. ₹15,000

C. ₹25,000

D. ₹50,000



Answer: C

Solution:

No service charges or adhoc inspection fees should be levied on priority sector loans up to ₹25,000. This helps reduce the cost burden on small borrowers within priority sectors.

Q. Under the Large Exposure Framework, when is **the "Look Through Approach" (LTA) mandatory** in determining relevant counterparties?

- A) When the total exposure to a structure is less than 0.25% of Tier I Capital
- B) When exposure is only to Government securities
- C) When a bank's exposure involves collective investment undertakings or securitisation vehicles
- D) When exposure exceeds 20% of Tier I Capital

Answer: C

Solution:

LTA is mandatory **when the bank's exposure is through an intermediate structure (like securitisation vehicles), requiring the bank to look through the structure to identify the underlying counterparties.** This ensures accurate aggregation of exposures to those ultimate borrowers or entities.



Q. What is **the maximum exposure limit for a single non-NBFC counterparty as per RBI's Large Exposure Framework (LEF)?**

- A) 10% of Tier-I Capital
- B) 20% of Tier-I Capital, with an additional 5% allowed in exceptional cases
- C) 25% of Tier-I Capital, no exceptions allowed
- D) 30% of Tier-I Capital, subject to Board approval

Answer: B

Solution:

RBI limits exposure to a single non-NBFC counterparty at 20% of the bank's Tier-I Capital. The Board of the bank may permit an extra 5% exposure in exceptional cases, but this additional limit is not allowed for NBFC exposures.



Q. Which of the following **maturities is NOT mandatory for banks to publish MCLR rates on?**

- A. Overnight MCLR
- B. Six-month MCLR
- C. Two-year MCLR
- D. One-year MCLR



Answer: C

Solution:

Banks must **publish MCLR for overnight, one-month, three-month, six-month, and one-year maturities.** Publishing MCLR for longer maturities such as two years is optional.



Q. Consider the following statements **about External Benchmark-based Lending Rate (EBLR) and spread**:

1. Banks can link their lending rates to any external benchmark published by FBIL, but must use a single benchmark within each loan category.
2. The credit risk premium component of the spread can be increased for an existing borrower without any review of the borrower's risk profile.
3. Banks have the freedom to decide the spread over the external benchmark, but other components such as operating cost can only be revised once every three years.

Which of the statements are correct?

- A. 1 and 3 only
- B. 2 and 3 only
- C. 1 and 2 only
- D. All three statements

Answer: A

Solution:

Statement 1 is correct because banks must adopt a uniform external benchmark within a loan category.

Statement 2 is incorrect because any increase in spread for an existing borrower must be supported by a full risk profile review, except for loans under consortium arrangements.

Statement 3 is correct because banks can decide the spread over the benchmark, but components like operating cost can only be changed once every three years.

Q. Which statement correctly **describes the reset mechanism for loans linked to an external benchmark?**

- A. Interest rates are reset at least once every six months.
- B. Interest rates are reset at least once every three months.
- C. Interest rates are reset only at loan maturity.
- D. Interest rates are reset yearly or as per borrower's discretion.



Answer: B

Solution:

Loans linked to an external benchmark require interest rates to be reset at least quarterly (every three months), allowing the loan rate to more frequently reflect changes in the underlying benchmark rate.

Q. Which of the following **describes the classification SMA-1 for term loan accounts?**

- A. Overdue amount between 1-30 days.
- B. Overdue amount between 31-60 days.
- C. Overdue amount between 61-90 days.
- D. Overdue amount exceeding 90 days.

Answer: B

Solution:

SMA-1 category includes accounts where principal, interest, or any other amount is overdue **between 31 and 60 days**. This is the second level in the classification system indicating increasing levels of delinquency.



Q. Consider the following statements about **RBI guidelines on Non-Performing Assets (NPA) and income recognition**:

1. A loan account becomes an NPA if interest or principal installments remain overdue for more than 90 days in a term loan.
2. Interest income on an NPA should be recognized on an accrual basis regardless of actual receipt.
3. For agricultural loans, overdue installments for one crop season in short duration crops classify the loan as an NPA.
4. An Overdraft/Cash Credit account is classified as NPA when it is marked 'out of order'.
5. Interest overdue for 90 days from the end of a quarter is a condition for classifying an account as NPA due to non-payment of interest.

Which of the above statements are correct?

- A. 1, 3, 4, and 5 only
- B. 1, 2, 4, and 5 only
- C. 2, 3, and 5 only
- D. All statements are correct

Answer: A

Solution:

Statement 1 is true as 90 days overdue in term loans leads to NPA classification.

Statement 2 is false because interest on NPAs should not be recognized until actually realized.

Statement 3 is true; overdue for one crop season in short duration crops classifies the loan as NPA.

Statement 4 is true; 'out of order' status leads to OD/CC accounts being classified as NPA.

Statement 5 is true according to RBI guidelines on interest overdue classification.

UNIT 18

Analysis of Financial Statements

STRUCTURE

- 18.0 Objectives
- 18.1 Introduction
- 18.2 Which are the Financial Statements
- 18.3 Users of Financial Statements
- 18.4 Basic Concepts Used in Preparation of Financial Statements
- 18.5 Accounting Standards (AS)
- 18.6 Legal Position Regarding Financial Statements
- 18.7 Balance Sheet
- 18.8 Profit and Loss Account
- 18.9 Cash Flow Statement
- 18.10 Funds Flow Statement
- 18.11 Projected Financial Statements
- 18.12 Purpose of Analysis of Financial Statements by Bankers
- 18.13 Rearranging the Financial Statements for Analysis
- 18.14 Techniques Used in Analysis of Financial Statements
- 18.15 Creative Accounting
- 18.16 Related Party Transactions.

Let Us Sum Up



Q. According to the Companies Act, 2013, **which of the following is NOT mandatory for One Person Company's financial statements?**

- A. Balance sheet
- B. Profit and loss account
- C. Cash flow statement
- D. Both B and C



Answer: C

Solution:

One Person Companies, along with Small Companies, Dormant Companies, and Start-up Companies, may exclude the cash flow statement from their financial statements as per the provisions mentioned. Other components like balance sheet and profit and loss account are mandatory.



Q. Consider the following **statements about financial statements and their users**:

1. Auditors are responsible for preparing financial statements and ensuring their accuracy.
2. Verification of financial statements' genuineness is a crucial step for credit officers before sanctioning loans.
3. The Directors' Report includes information about dividend, future plans, and compliance with laws.

Which of the above statements is/are correct?

- A. Only 1 and 2
- B. Only 2 and 3
- C. Only 3
- D. All 1, 2, and 3



Answer: B

Explanation:

Statement 1 is incorrect because financial statements are prepared by management, not auditors. Auditors only provide an opinion on these statements.

Statements 2 and 3 are correct as verifying genuineness is necessary before credit decisions, and the Directors' Report contains dividend info, future plans, and legal compliance details.

Q. Which of the following types of companies are exempted from following the **financial statement formats prescribed under Schedule III of the Companies Act 2013?** (Select all that apply)

1. Insurance companies
2. Banking companies
3. Electricity companies
4. Private limited companies
5. Public limited companies

A. 1, and 3

B. 1, 2, 4

C. 1, 2, 3, 4, 5

D. 1, 2, 3

Answer: D

Solution:

Insurance companies, banking companies, and electricity companies

have specific laws governing their financial statements and therefore do not follow **the Schedule III formats prescribed** for other companies.

Private and public limited companies must adhere to Schedule III formats unless specifically exempted.



Q. Evaluate the following statements about Balance Sheet classification and disclosures.
Identify which of these statements are correct:

1. Assets expected to be realized beyond 12 months after the reporting date are classified as non-current assets.
2. Interest accrued but not due on borrowings is classified under other current liabilities.
3. Goodwill is classified under tangible assets.
4. Allowance for doubtful loans is shown separately under relevant asset heads.
5. Loans and advances from related parties are always classified as long-term borrowings.
6. Trade payables refer to amounts due for goods purchased or services received in the normal course of business.

- A. Only statements 1, 2, 4, and 6 are correct**
B. Only statements 1, 3, and 5 are correct
C. Only statements 2, 4, and 6 are correct
D. All statements are correct

Answer: A

Solution:

Statement 1 is correct as assets realized beyond 12 months are non-current.

Statement 2 is correct because accrued interest not yet due is a current liability.

Statement 3 is incorrect; goodwill is an intangible asset, not tangible.

Statement 4 is correct; allowance for doubtful loans is disclosed separately.

Statement 5 is incorrect; loans from related parties can be short-term or long-term depending on terms.

Statement 6 is correct; trade payables are amounts owed for goods/services in normal operations.



Q. A finance company would **classify income from interest and other financial services under:**

- A. Other income
- B. Revenue from operations
- C. Finance costs
- D. Additional information



Answer: B

Solution:

For finance companies, income from interest and financial services is considered core business **income and is included under revenue from operations,** not under other income.

Q. Consider the following statements related **to the interpretation and structure of the Cash Flow Statement (CFS)**:

1. A company can report high profitability and yet have a negative net cash flow from operations.
2. Cash equivalents must always have fixed maturity dates exceeding one year.
3. A consistently negative investing cash flow could indicate strategic business expansion.
4. Financing cash flows exclude dividend payments, as they are part of operational activities.
5. A positive cash flow from financing activities always reflects a financially healthy position.

Which of the above statements are correct?

- A. 1 and 3 only
- B. 2, 4, and 5 only
- C. 1, 3, and 4 only
- D. 1, 3, and 5 only

Answer: A

Solution:

Statement 1 – Correct: A firm using accrual accounting may show profits due to non-cash income (e.g., credit sales or unrealized gains), but if receivables are not collected or expenses are prepaid, cash flow from operations can be negative.

Statement 2 – Incorrect: Cash equivalents must be short-term, highly liquid investments, typically maturing within three months, not beyond one year.

Statement 3 – Correct: A negative investing cash flow often results from the purchase of assets like property, plant, and equipment—usually a sign of growth investment, not distress.

Statement 4 – Incorrect: Dividend payments are part of financing cash flows, not operating. They represent returns to shareholders and involve capital structure decisions.

Statement 5 – Incorrect: A positive financing cash flow may result from increased borrowing or equity issuance, which could be a response to liquidity stress rather than financial strength.



Q. Consider the following statements **regarding Funds Flow Statement and Projected Financial Statements:**

Statement I: An increase in any item on the liabilities side of the balance sheet is treated as a source of funds.

Statement II: Projected financial statements are used to understand how funds were utilized in the previous accounting period.

Statement III: A decrease in an asset item indicates a source of funds in funds flow analysis.

Which of the above statements is/are correct?

- A. Only I and II
- B. Only II and III
- C. Only I and III
- D. I, II, and III

Answer: C

Solution:

Statement I is correct: An increase in any liability means the enterprise has obtained more funds, so it is treated as a source of funds.

Statement II is incorrect: Projected financial statements are used to anticipate future financial positions, not to understand past fund usage. That role belongs to actual financial statements and funds flow statements.

Statement III is correct: A decrease in assets means fewer funds are tied up in those assets, freeing funds for other uses—thus, it represents a source of funds.

Q. What does **the Internal Rate of Return (IRR)** represent in financial analysis?

- A. The break-even sales volume for a project
- B. The discount rate making net present value (NPV) zero
- C. The ratio of net profits to total sales
- D. The total cash inflows over cash outflows



Answer: B

Solution:

IRR is the discount rate at which the sum of discounted future cash flows equals the initial investment, indicating the profitability and viability of an investment project.



UNIT 19

Working Capital Finance

STRUCTURE

- 19.0 Objectives
- 19.1 Concept of Working Capital
- 19.2 Working Capital Cycle
- 19.3 Importance of Liquidity Ratios
- 19.4 Methods of Assessment of Bank Finance
- 19.5 Working Capital Finance to Information Technology and Software Industry
- 19.6 Bills/Receivables Finance by the Banks
- 19.7 Guidelines of RBI for Discounting/Rediscounting of Bills by Banks
- 19.8 Trade Receivables Discounting System (TReDS)
- 19.9 Non-Fund Based Working Capital Limits
- 19.10 Other Issues Related to Working Capital Finance

Let Us Sum Up



Q. Which of the following statements are **true regarding working capital management?**

1. The management of working capital involves both current assets and the sources of finance to support them.
2. Long-term sources of finance are the only means to finance current assets.
3. A longer working capital cycle increases the need for current assets to support business operations.

A) Only statement 1 is true

B) Statements 1 and 3 are true

C) Statements 2 and 3 are true

D) All three statements are true

Answer: B

Solution:

Statement 1 is true as managing working capital involves current assets and their financing sources.

Statement 2 is false because current assets are also financed through short-term sources like bank overdrafts and commercial paper.

Statement 3 is true, as a longer working capital cycle requires more current assets to maintain operations.

Q. Consider the following statements **regarding the factors influencing the need for working capital in a firm:**

1. Public utility companies generally require a higher amount of working capital due to large inventories.
2. Trading firms need more working capital but less investment in fixed assets.
3. A steady production policy throughout the year may increase inventory levels during the off-peak season.
4. The longer the operating cycle, the higher the requirement for working capital.
5. Seasonal businesses require the same amount of working capital in both peak and slack seasons.

Which of the above statements are correct?

- A. 2, 4, and 5 only
- B. 1, 2, and 5 only
- C. 1 and 4 only
- D. 2, 3, and 4 only

Answer: D

Explanation:

Statement 1 is incorrect: Public utility firms require less working capital, not more.

Statement 2 is correct: Trading firms need high working capital and less fixed investment.

Statement 3 is correct: A steady production policy causes inventory build-up in off-peak season.

Statement 4 is correct: A longer operating cycle increases the working capital requirement.

Statement 5 is incorrect: Seasonal businesses require more working capital during the peak season.



Q. Consider the following statements **regarding Factoring and Forfaiting**:

In factoring, the financier may administer the sales ledger and control credit given to buyers.

Factoring can be done by banks either departmentally or through subsidiaries.

In forfaiting, the financier assumes the risk of default by the importer, and the exporter is not liable.

Forfaiting is used for both domestic and international trade receivables.

RBI allows AD Category-I banks to offer export factoring on a non-recourse basis, subject to certain conditions.

Which of the above statements are correct?

- A. 1, 2 and 4 only
- B. 1, 3 and 5 only
- C. 1, 2, 3 and 5 only
- D. 2, 3, 4 and 5 only

Answer: C

Solution:

Statement 1: Correct – Factors may manage the sales ledger and credit control.

Statement 2: Correct – Banks can offer factoring services through subsidiaries or departmentally.

Statement 3: Correct – Forfaiting is without recourse, so the financier bears the default risk.

Statement 4: Incorrect – Forfaiting is only used in export transactions, not domestic ones.

Statement 5: Correct – RBI permits non-recourse export factoring by AD banks with conditions.



Q. Which of the following statements are **not correct regarding the assessment of working capital and lending methods?**

1. The assessment of inventory takes into account factors such as lead time, minimum order quantity, and manufacturing process.
2. Receivables assessment is largely determined by the inventory levels of the business.
3. The First Method of Lending requires the enterprise to bring in NWC of at least 25% of the total current assets.
4. The Second Method of Lending asks the enterprise to bring in NWC of at least 25% of the working capital gap.
5. According to the Third Method of Lending, the enterprise must bring in 100% of core current assets and 25% of the remaining current assets as NWC.

A. Statements 1, 3, and 5

B. Statements 1, 2, and 4

C. Statements 2, 4, and 5

D. Statements 2, 3, and 4

Answer: D

Solution:

Statement 1 is correct as inventory assessment is influenced by lead time, order quantity, and manufacturing process.

Statement 5 is correct; under the Third Method of Lending, 100% of core current assets and 25% of other current assets are required as NWC.

Statement 2 is incorrect because receivables are influenced by market practice, not inventory levels.

Statement 3 is incorrect; the First Method of Lending requires NWC of 25% of the working capital gap, not total current assets.

Statement 4 is incorrect because the Second Method of Lending uses the total current assets for the 25% NWC requirement, not the working capital gap.

Q. Under the Turnover Method of working capital assessment, **what percentage of the enterprise's annual turnover is assumed to be required as gross working capital?**

- A) 10%
- B) 15%
- C) 25%
- D) 30%



Answer: C

Solution:

The Turnover Method assumes that 25% of the enterprise's annual turnover is required as gross working capital.





UNIT 20

Term Loans

STRUCTURE

- 20.0 Objectives
- 20.1 Important Points about Term Loans
- 20.2 Deferred Payment Guarantees (DPGs)
- 20.3 Difference between Term Loan Appraisal and Project Appraisal
- 20.4 Project Appraisal
- 20.5 Appraisal and Financing of Infrastructure Projects

Let Us Sum Up

A company's total fixed costs are ₹1,50,000, and the variable cost per unit is ₹30. If the selling price per unit is ₹50, **what is the break-even sales volume?**

- a) 5,000 units
- b) 7,500 units
- c) 3,000 units
- d) 6,000 units

Answer: a) 7,500 units

Break-even Point (BEP) Formula: $\text{BEP (units)} = \frac{\text{Fixed Costs}}{\text{Contribution per Unit}}$



Commercial Appraisal

- ✓ Assesses the business's ability to **generate enough profit** to service its debts in terms of time and quantity.
- ✓ Even if all other appraisals are favorable, poor commercial viability can lead to loan default.

Focuses on:

- ✓ **Ability to repay** the loan.
- ✓ **Cushion** or fallback in case of non-repayment.

(a) Break Even Analysis (BEP)

- ✓ BEP is the point where **Total Costs = Total Sales Revenue**, i.e., no profit or loss.
- ✓ Used to **assess commercial health** and determine when loan repayment can start.

Key Concepts:

- ✓ **Fixed Cost (FC)**: Does not vary with production (e.g., depreciation).
- ✓ **Variable Cost (VC)**: Varies with production level (e.g., raw materials).
- ✓ **Total Cost = FC + VC**
- ✓ Profit starts only after covering the **fixed cost** through production beyond a certain volume.

Contribution = Selling Price - Variable Cost; it helps cover fixed costs and generate profit.

Break Even Point (BEP) formula:

$\text{BEP (in units)} = \text{Fixed Cost} / \text{Contribution per unit}$

Example: If Fixed Cost = ₹2000, SP = ₹12, VC = ₹7 → Contribution = ₹5
→ BEP = 400 units (or 40% capacity utilization).

Production beyond BEP contributes to profit; this excess is called the Margin of Safety.

BEP Risk Levels:

1. $\leq 50\%$: Very healthy
2. 51–65%: Low risk
3. 66–70%: Medium risk
4. 71–85%: High risk
5. 85%: Very high risk

Q. Which of the following statements are **true regarding the assessment of business activity viability for term loan appraisal?**

Statement 1: The viability of a business activity is determined by projecting sales and production costs over the entire tenor of the loan.

Statement 2: For term loan appraisal, only the financial projections for the next year are required to assess the business viability.

Statement 3: The cash surplus generated from operations must be sufficient to cover the annual loan instalment obligations.

- A) Only Statement 1 is true
- B) Only Statement 3 is true
- C) Statements 1 and 3 are true
- D) All statements are true

Answer: C

Solution:

- ✓ Statement 1 is correct because viability is assessed through projected sales and production costs over the loan term.
- ✓ **Statement 2 is incorrect** as term loan appraisal requires projections for the entire tenor, not just the next year.
- ✓ Statement 3 is correct because the cash surplus must cover loan instalments.



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Q. Which of the following statements **about the Debt Service Coverage Ratio (DSCR) is/are correct?**

1. DSCR is calculated by dividing net profit plus depreciation, other non-cash expenses, and interest on term loan by the sum of interest on term loan and installments of term loan.
2. A DSCR of 2 or above indicates lower repayment capacity and therefore may require extended repayment periods.
3. An average DSCR of 1.50 is considered reasonable, as it suggests that after the payment of installments and interest, a surplus is left over.
4. In the early years of a loan, the DSCR may be lower than 1.50, and the lender may consider reducing the loan installments initially.
5. A higher DSCR provides a margin of safety for the lender, as it indicates the borrower can repay the loan comfortably with a greater surplus.

A) 1, 3, and 5 are correct

B) 1, 2, and 4 are correct

C) 1, 3, 4, and 5 are correct

D) All of the above are correct

Answer: C

Explanation:

- ✓ Statement 1 correctly describes how DSCR is calculated.
- ✓ **Statement 2 is incorrect** because a higher DSCR (above 2) indicates higher repayment capacity, not lower.
- ✓ Statement 3 is accurate, as a DSCR of 1.50 suggests a reasonable repayment margin.
- ✓ Statement 4 is correct because in the early years, DSCR may be lower, and the lender may reduce installments initially to ease repayment.
- ✓ Statement 5 is also correct, as a higher DSCR provides a margin of safety for the lender.



UNIT 21

Credit Delivery and Straight Through Processing

STRUCTURE

- 21.0 Objectives
- 21.1 Introduction
- 21.2 Documentation
- 21.3 Third-Party Guarantees
- 21.4 Charge over Securities
- 21.5 Possession of Security
- 21.6 Disbursal of Loans
- 21.7 Lending under Consortium/Multiple Banking Arrangements
- 21.8 Syndication of Loans
- 21.9 Straight-Through Loan Processing or Credit Underwriting Engines

Let Us Sum Up

Keywords



Q. Which of the following statements are **correct regarding the documentation process in credit management?**

1. Documentation ensures that the borrower's identity and security are properly identified.
2. Non-compliance with legal provisions may not affect the enforceability of the loan documents in a court of law.
3. Proper documentation entitles the bank to take legal action for loan recovery if the borrower fails to repay.

A) Only Statement 1 is correct

B) Statement 1 and 3 are correct

C) Only Statement 2 is correct

D) All statements are correct

Answer: B

Solution:

Statement 1 is correct as documentation helps identify the borrower and security.

Statement 3 is correct as proper documentation allows the bank to take legal steps for recovery.

Statement 2 is incorrect because non-compliance with legal provisions can affect the enforceability of loan documents.

Q. Under Section 25(3) of the Contract Act, 1872, **what is required to revive a time-barred debt?**

- A) An acknowledgment by a witness in court.
- B) A written and signed promise to pay, either in whole or part, by the debtor.
- C) A payment made for a partial amount without any written acknowledgment.
- D) A court ruling on the time-barred debt.



Answer: B

Solution:

Under Section 25(3), a written and signed promise to pay a time-barred debt by the debtor, or their agent, is necessary to revive the debt and make it enforceable.



Q. Which of the following statements are **true regarding the concepts of pledge, lien, and hypothecation?**

1. In a pledge, the borrower transfers possession of the asset to the lender as security for a loan.
2. A lien allows the creditor to sell the asset if the borrower defaults on the loan.
3. In hypothecation, the borrower retains possession of the asset, and the lender can only take possession if the borrower defaults.
4. A lien is assignable to another party, while a pledge cannot be assigned.
5. Hypothecation can be used for movable assets, while a pledge can be used for both movable and immovable assets.

- A) Statements 2, 4, and 5 are correct.**
B) Statements 1, 3, and 5 are correct.
C) Statements 1, 2, and 4 are correct.
D) Statements 1, 3, and 4 are correct.

Answer: B

Solution:

Pledge: Borrower gives possession of the asset to the lender as security for the loan.

Lien: Lender has the right to retain possession but not to sell the asset.

Hypothecation: Borrower retains possession, but the lender can take possession if the borrower defaults.

Statement 1: True, as the borrower transfers possession in a pledge.

Statement 2: False, a lien doesn't allow sale of the asset.

Statement 3: True, in hypothecation the borrower retains possession.

Statement 4: False, a pledge is assignable, not a lien.

Statement 5: True, hypothecation is for movable assets, and pledge can be used for both.

UNIT 22

Credit Control and Monitoring

STRUCTURE

- 22.0 Objectives
- 22.1 Importance and Purpose
- 22.2 Available Tools for Credit Monitoring/Loan Review Mechanism (LRM)

Let Us Sum Up

Keywords



Which of the following statements is/are **correct about the scope and application of LRM as per RBI guidance?**

Statement I: LRM covers only newly sanctioned loans and excludes renewals or enhancements.

Statement II: Review of group or associate concerns is recommended even if their exposure is below the cut-off.

Statement III: A percentage of accounts outside the mandatory review pool should be selected randomly for review.

- A. Only II and III are correct
- B. Only I and II are correct
- C. Only III is correct
- D. All three are correct

Answer: A

- ✓ **Statement I is incorrect:** LRM covers new sanctions, renewals, enhancements, and related exposures.
- ✓ **Statement II is correct:** RBI recommends inclusion of group/associate concerns for comprehensive risk assessment.
- ✓ **Statement III is correct:** RBI encourages random selection (5–10%) of accounts outside cut-off to ensure broader audit scope.

Which combination of account selection does the RBI suggest under Loan Review, besides high-value and renewal accounts?

- A. Accounts secured by liquid assets only
- B. All priority sector accounts under ₹1 crore
- C. Random selection (5–10%) from the portfolio and related group companies
- D. Only accounts with overdue interest beyond 60 days

Answer: C

RBI mandates **random selection (5–10%)** of accounts for review and includes **sister/group/associate companies** of accounts under review to detect linked exposure risks and ensure comprehensive scrutiny.



According to RBI's structure for Credit Audit Departments,
which of the following functions is LEAST likely to fall under
its mandate?

- A. Apprising Top Management of findings
- B. Following up with controlling authorities
- C. Processing credit appraisal memos for sanction
- D. Arranging closure of previous audit remarks

Answer: C

Credit Audit Departments do not process **credit appraisal memos for sanction**; this lies with credit sanctioning/credit risk teams. The audit department primarily reviews, advises, and follows up on existing exposures and past audit findings.



Which of the following statements regarding **the objectives of LRM** is/are correct?

Statement I: LRM aims to identify loans that may become problematic even if they are currently standard.

Statement II: One of the LRM goals is to assess and improve the skills of the bank's credit sanctioning personnel.

Statement III: LRM is primarily focused on assessing the profitability of retail banking operations.

- A. Only I and II are correct
- B. Only I and III are correct
- C. Only II and III are correct
- D. All three are correct

Answer: A

- ✓ **Statement I is correct:** LRM helps in identifying **potential problem accounts** before they deteriorate.
- ✓ **Statement II is correct:** Improving credit skills and ensuring adherence to policies are among LRM objectives.
- ✓ **Statement III is incorrect:** LRM focuses on **credit risk management** in advances, not the profitability of retail operations.

Which of the following statements regarding **Legal Audit of title documents is/are correct?**

Statement I: RBI mandates legal audits only for loan accounts above ₹50 crore.

Statement II: The purpose of the legal audit is to verify genuineness and availability of title deeds.

Statement III: Banks must report outcomes of legal audits to the Board/Audit Committee quarterly.

- A. Only II and III are correct
- B. Only I is correct
- C. Only III is correct
- D. All three are correct

Answer: A

- ✓ **Statement I is incorrect:** Legal audits are mandated for **accounts with exposure of ₹5 crore and above**, not ₹50 crore.
- ✓ **Statement II is correct:** The focus is on verifying **genuineness, availability, and safekeeping** of title deeds.
- ✓ **Statement III is correct:** **Quarterly reporting** to the Board or Audit Committee is required as per RBI guidelines.

Which of the following best explains **the primary objective of post-disbursal credit monitoring?**

- A. To ensure timely collection of interest and principal
- B. To assess the borrower's future capital requirements
- C. To verify that funds are used for the intended purpose and to detect early warning signals
- D. To calculate the borrower's net worth



Answer: C

Post-disbursal credit monitoring ensures that the borrower uses the funds as intended and helps detect any deviations or early signs of distress. It allows the bank to take corrective actions promptly.



Which of the following statements about **Credit Risk Assessment and Review** is/are correct?

Statement I: Credit audits should focus only on large corporate accounts with limits above ₹10 crore.

Statement II: Portfolio review involves suggesting improvements in sectoral exposure and concentration risk.

Statement III: Review frequency depends on risk category, ranging from 3 to 12 months.

- A. Only I and II are correct
- B. Only II and III are correct
- C. Only III is correct
- D. All three are correct

Answer: B

- ✓ **Statement I is incorrect:** RBI guidelines recommend broadening the credit audit scope beyond just large accounts.
- ✓ **Statement II is correct:** Sectoral concentration and exposure are key parts of **portfolio-level review**.
- ✓ **Statement III is correct:** **Review frequency varies** based on risk (e.g., 3 months for high-risk, 12 months for low-risk).



UNIT 23

Risk Management and Credit Rating

STRUCTURE

- 23.0 Objectives
- 23.1 Meaning of Credit Risk
- 23.2 Factors Affecting Credit Risk
- 23.3 Steps Taken to Mitigate Credit Risks
- 23.4 Credit Ratings
- 23.5 Internal and External Ratings
- 23.6 Methodology of Credit Rating
- 23.7 Use of Credit Derivatives for Risk Management
- 23.8 RBI Guidelines on Credit Risk Management
- 23.9 Credit Information System

Let Us Sum Up



Q. Which of the following **best differentiates market risk from credit risk in banking operations?**

- A. Market risk is controllable by internal policies, while credit risk is not.
- B. Market risk arises due to borrowers defaulting; credit risk arises from currency fluctuation.
- C. Market risk stems from adverse movements in financial variables; credit risk arises from borrowers failing to meet financial obligations.
- D. Market risk only affects non-fund-based facilities; credit risk only affects fund-based facilities.

Answer: C

Solution:

Market risks result from external and uncontrollable forces such as interest rate and exchange rate fluctuations.

Credit risks, in contrast, originate from the borrower's inability or unwillingness to meet repayment obligations, affecting both fund-based and non-fund-based facilities.

Q. Examine the following statements **related to credit risk in banking**:

1. Lending excessively to cyclical industries increases credit risk, especially during economic downturns.
2. A country's political risk is considered an internal factor since it influences national policy-making.
3. Ignoring the purpose of a loan during appraisal may weaken the effectiveness of credit monitoring later.

Which of the statements is/are correct?

- A. 1 and 3 only
- B. 2 and 3 only
- C. 1 and 2 only
- D. All three statements

Answer: A

Explanation:

Statement 1 is correct: Cyclical industries are sensitive to economic cycles. Concentrated exposure to them makes the credit portfolio vulnerable during downturns — a classic internal credit risk factor.

Statement 2 is incorrect: Political risk, even though it stems from within the country, is classified as an external factor because it impacts borrowers' business environments rather than the bank's internal operations.

Statement 3 is correct: When the loan purpose is unclear or ignored, it becomes harder to monitor whether the funds are being used appropriately, thus increasing the potential for default.

Q. Which of the following is **a macro-level measure taken by banks to mitigate credit risk?**

- A. Credit scoring of individual customers
- B. Sanctioning loans based on collateral value
- C. Periodic review of sectoral exposure limits
- D. Use of escrow accounts for specific transactions

Answer: C

Explanation:

Macro-level strategies are portfolio-wide controls. Reviewing and setting internal limits for credit exposure to specific sectors ensures that the bank avoids concentration risk and spreads its portfolio across industries, thus controlling systemic risk.



Q. Evaluate the following statements **regarding the use and purpose of credit ratings in bank loan appraisal:**

1. Credit rating helps in determining the interest rate that should be charged on a loan.
2. Two projects with identical technical features will always receive the same credit rating.
3. Credit ratings assist bank management in assessing provisioning requirements.
4. Credit proposals can be accepted with modifications based on their risk rating.
5. Credit rating is only used for internal compliance and has no role in portfolio management.

Which of the above statements are correct?

- A. 1, 2, and 4 only
- B. 1, 3, and 4 only
- C. 2, 3, and 5 only
- D. 3, 4, and 5 only

Answer: B

Solution:

Statement 1 – Correct: The credit rating is used to determine pricing, including the interest rate.

Statement 2 – Incorrect: Identical technical features do not guarantee the same rating, as promoters and other factors affect credit risk.

Statement 3 – Correct: Ratings help evaluate the overall portfolio and provisioning needs.

Statement 4 – Correct: A proposal can be accepted with conditions based on the risk it carries.

Statement 5 – Incorrect: Credit ratings are vital for broader portfolio management and are not limited to compliance.



Q. Which of the following is **not a domestic credit rating agency accredited by RBI?**

- A. CRISIL Limited
- B. CARE Limited
- C. Acuite Ratings and Research Limited
- D. Standard & Poor's



Answer: D

The following are the CRAs accredited by RBI:

Type	ECRA
Domestic	1. CARE Limited; 2. CRISIL Limited; 3. India Ratings and Research Private Limited (India Ratings) 4. ICRA Limited. 5. Brickwork Ratings India Pvt. Ltd. (Brickwork) 6. Acuite Ratings and Research Limited (earlier SMERA) 7. Infomerics valuation and Rating Pvt. Ltd
International	(a) FITCH (b) Moody's (c) Standard & Poor's

Q. In the credit rating methodology used by banks, **what are the three broad categories of risk areas typically scored?**

A. Marketing strategy, financial policy, and business/industry/project risks

B. Promoters/Management aspects and securities, financial aspects, and business/industry/project risks

C. Promoters/Management aspects and securities, liquidity ratios, and competition

D. Geographic location, credit history, and loan tenure

Answer: B

Solution:

Banks evaluate credit proposals by scoring key risk areas, which include the quality of promoters and available securities, detailed financial statement analysis, and risks related to the business, industry, or project. These categories provide a comprehensive assessment of the borrower's risk profile.



Q. Consider the following statements about **Credit Default Swaps (CDSs)** and **Credit Linked Notes (CLNs)**. Identify which of these statements are correct:

1. CDSs provide protection only on the principal amount and not on the interest.
2. CLNs involve a Special Purpose Vehicle (SPV) that issues notes to investors.
3. CDSs are generally offered on conventional bank loans.
4. In CLNs, investors receive a fixed or variable return during the life of the note.
5. RBI permits only plain vanilla CDSs for use in the Indian banking sector.

A. Statements 1, 2, 4, and 5 are correct

B. Statements 1, 3, and 5 are correct

C. Statements 2 and 4 only are correct

D. All statements are correct

Answer: A

Solution:

Statement 1 Correct. CDS protection covers only the principal amount of the debt.

Interest is not included in the protection.

Statement 2 Correct. CLNs use a Special Purpose Vehicle (SPV) that issues notes to investors; the SPV then invests the proceeds in high-quality securities.

Statement 3 Incorrect. CDSs are offered only on negotiable and publicly traded debt, not on conventional bank loans.

Statement 4 Correct. Investors in CLNs receive fixed or variable returns during the life of the note.

Statement 5 Correct. RBI guidelines allow only plain vanilla CDSs, which are standardized contracts without complex features.

Q. Consider the following statements **about Credit Information Companies (CICs) and RBI regulations:**

1. All credit institutions must be members of all CICs and submit historical and updated credit data regularly.
2. Credit Information Companies can obtain credit information from any financial institution, including non-member entities.
3. Banks are required to report wilful defaulters with dues of Rs. 25 lakh and above to all CICs on a monthly or more frequent basis.

Which of the statements are correct?

- A. 1 and 2 only
- B. 1 and 3 only
- C. 2 and 3 only
- D. 1, 2, and 3

Answer: B

Solution:

Statement 1 is correct because RBI mandates that all credit institutions must join all CICs and provide updated data regularly to ensure completeness of credit information.

Statement 2 is incorrect because CICs can obtain credit information only from their members, not from non-member institutions.

Statement 3 is correct since banks must report wilful defaulters with dues of Rs. 25 lakh and above to all CICs regularly.

UNIT 24

Restructuring/Rehabilitation and Recovery

STRUCTURE

- 24.0 Objectives
- 24.1 Credit Default/Stressed Assets/NPAs
- 24.2 Wilful Defaulters
- 24.3 Non-cooperative Borrowers
- 24.4 Options Available to Banks for Stressed Assets
- 24.5 RBI Guidelines on Restructuring of Advances by Banks
- 24.6 Available Frameworks for Restructuring of Assets
- 24.7 Sale of Financial Assets

Let Us Sum Up



Q. A term loan's repayment schedule has not yet started, but the financed project has been abandoned due to insolvency of the borrower. **How should the bank classify this asset?**

- A. Standard Asset
- B. Sub-standard Asset
- C. Stressed Asset
- D. Loss Asset



Answer: C

Solution:

Even though repayments are not overdue, the abandonment of the project indicates a high likelihood of default. This qualifies the loan as a stressed asset, as it faces a reasonably certain prospect of default.



Q. Consider the following statements about **wilful default and related RBI guidelines. Identify which of the statements are true:**

1. Wilful default can occur if a borrower defaults despite having the capacity to repay the loan.
2. Diversion of funds includes using borrowed funds for a purpose other than the one sanctioned without lender approval.
3. Siphoning of funds refers to using borrowed money for activities unrelated to the borrower's business, harming the lender's interests.
4. Lending institutions can publish photographs of any defaulter irrespective of the wilful default classification.
5. The National Human Rights Commission supports publishing photographs of education loan defaulters as a deterrent.

A. Only statements 1, 2, and 3 are true

B. Only statements 2, 3, and 4 are true

C. Only statements 1, 3, and 5 are true

D. Only statements 1, 2, 3, and 5 are true

Answer: A

Solution:

Statement 1 correctly describes wilful default.

Statement 2 accurately explains diversion of funds.

Statement 3 defines siphoning of funds as per RBI.

Statement 4 is false; only wilful defaulters' photos may be published with strict guidelines.

Statement 5 is false; NHRC opposes publishing photos of education loan defaulters due to human rights concerns.

Q. Which forum is primarily intended **to expedite recovery cases involving bank dues of Rs. 20 lakh and above?**

- A. Civil Courts
- B. Debt Recovery Tribunals
- C. Lok Adalats
- D. National Company Law Tribunals



Answer: B

Solution:

DRTs are specially established to speed up recovery of dues exceeding Rs. 20 lakh. Their procedures are summary in nature and designed for faster resolution compared to Civil Courts, which deal with smaller amounts or more prolonged procedures.

Q. If an MSME borrower's account was standard as on August 31, 2017, but overdue between 90 and 180 days during GST transition, **what classification does RBI permit for such accounts?**

- A. Sub-Standard Asset
- B. Standard Asset
- C. Doubtful Asset
- D. Loss Asset



Answer: B

Solution:

RBI allowed accounts with up to 180 days overdue during the **GST transition** period to continue to be classified as Standard Assets to ease transition difficulties for MSMEs.



Q. What is the maximum duration of **the Review Period during which lenders decide the resolution strategy?**

- A. 60 days
- B. 180 days
- C. 30 days
- D. 90 days



Answer: C

Solution:

The Review Period refers to the 30 days following the reporting of a default by any lender, during which the lenders must conduct a prima facie review and decide on the resolution approach, including potentially initiating legal action.



18. Under the Inter-Creditor Agreement (ICA), **what is the minimum percentage of lenders by value and by number whose decision will be binding on all lenders?**

- A. 75% by value and 60% by number
- B. 66% by value and 75% by number
- C. 75% by value and 66% by number
- D. 60% by value and 75% by number

Answer: A

Solution:

The ICA specifies that decisions agreed by lenders representing at least 75% of the total outstanding credit facilities (by value) and 60% of lenders by number will be binding on all lenders, ensuring majority consensus controls resolution decisions.



Q. What is the total additional provisioning percentage required if a viable **Resolution Plan is not implemented within 365 days from the commencement of the Review Period?**

- A. 15%
- B. 20%
- C. 25R
- D. 35%



Answer: D

Solution:

If the Resolution Plan is not implemented within 180 days, lenders must make an additional provision of 20%. If the delay extends to 365 days from the start of the Review Period, an additional 15% provision is required on top of the previous 20%, totaling 35%.



Q. For an infrastructure project, **if the Date of Commencement of Commercial Operation (DCCO)** is deferred for the first time but still within the allowed extension period, what is the impact on asset classification and provisioning?

- A) The asset is classified as sub-standard with 5% provisioning
- B) The asset remains a standard asset with a provisioning requirement of 0.40%
- C) The asset is classified as sub-standard with 1% provisioning
- D) The asset classification remains standard without any provisioning

Answer: B

Solution:

For the first deferment of DCCO within the permitted **extension (T+2 years for infrastructure projects)**, the asset retains standard classification **with a 0.40% provisioning requirement**.

22. Consider the following statements **about the sale of financial assets to Securitisation/Reconstruction Companies:**

1. A bank can sell a Standard Asset under a consortium arrangement only if at least 75% of the consortium members agree to the sale.
2. If a financial asset is reported as SMA-2 and restructuring is underway as part of a Resolution Plan, the bank can sell the asset without any conditions.
3. For assets valued above Rs. 50 crores, banks must obtain two external valuation reports before selling.

Which of the statements are correct?

- A. Only 1 and 3
- B. Only 2 and 3
- C. Only 1 and 2
- D. All three statements

Answer: A

Solution:

Statement 1 is correct as the sale of Standard Assets under consortium arrangements requires agreement from at least 75% of consortium members.

Statement 3 is correct because assets over Rs. 50 crores require two external valuation reports.

Statement 2 is incorrect because if restructuring is part of the Resolution Plan, the bank cannot sell the asset without arranging additional finance.

UNIT 25

Resolution of Stressed Assets under Insolvency and Bankruptcy Code 2016

STRUCTURE

- 25.0 Objectives
- 25.1 Definition of Insolvency and Bankruptcy
- 25.2 To Whom the Code is Applicable
- 25.3 Legal Elements of the Code
- 25.4 Paradigm Shift
- 25.5 Corporate Insolvency Resolution Process
- 25.6 Liquidation Process
- 25.7 Pre-packed Insolvency Resolution Process for Stressed MSMEs

Let Us Sum Up



Q. What distinguishes bankruptcy from **insolvency in the context of the Insolvency and Bankruptcy Code (IBC)**? (choose the best option)

- A. Insolvency is a financial condition; bankruptcy is a legal status declared by an authority.
- B. Bankruptcy occurs before insolvency and is a preventive process.
- C. Bankruptcy refers to voluntary debt restructuring; insolvency refers to legal action.
- D. Insolvency applies to companies only, while bankruptcy applies to individuals.

Answer: A

Solution:

Insolvency arises when a debtor's liabilities exceed assets and they cannot pay debts. Bankruptcy is a legal declaration that the insolvency cannot be resolved, made through a formal bankruptcy order issued by an Adjudicating Authority.



Q. Under the IBC, **which category is governed by Part-III of the Code?**

- A. Limited Liability Partnerships
- B. Personal Guarantors to Corporate Debtors
- C. Proprietorship firms and individuals
- D. Statutory bodies notified by the government



Answer: C

Explanation:

Part-III of the Code deals with non-corporate debtors, specifically partnership and proprietorship concerns and individuals, addressing their insolvency and resolution.



Q. Under the CIRP framework, which of **the following statements is correct regarding initiation of insolvency proceedings?**

- A. CIRP can only be initiated by a financial creditor for defaults above ₹1 crore.
- B. CIRP can be initiated even if the defaulted entity's loan accounts are classified as standard assets.
- C. Operational creditors must always propose an IRP at the time of application.
- D. The debtor cannot initiate insolvency against itself.

Answer: B

Solution:

The definition of 'default' includes failure to pay any amount due, in full or in part, regardless of the loan classification. Hence, a third party may initiate CIRP even if the debtor's accounts are standard in the banking system.

Q. When does **the Committee of Creditors (CoC)** hold its first meeting, and **what is the minimum notice period required for such a meeting?**

- A. On the 14th day from IRP appointment with three days' notice
- B. Within 30 days from commencement with five days' notice
- C. Within seven days of constitution of CoC, with at least five days' notice
- D. Within 15 days of submission of claims, with seven days' notice

Answer: C

Solution:

The first CoC meeting must be held within 7 days of filing the report that certifies its constitution. Moreover, a minimum notice of five days must be given before conducting the meeting, as stipulated under Section 22(1) and Regulation 19(2).



Q. What is required for **the withdrawal of the CIRP after its initiation?**

- A. Approval of 66% voting share of the CoC and public announcement
- B. Consent of the IRP and all operational creditors
- C. Application by the CIRP applicant with 90% CoC approval before publication of EoI
- D. Approval from the NCLT after the RP is appointed and EoI published

Answer: C

Solution:

The process allows for withdrawal of CIRP only if the applicant applies and obtains 90% CoC approval, and the request is submitted before the publication of the Expression of Interest (EoI) for resolution plans.

Q. What is the minimum voting share required **within the Committee of Creditors (CoC) to replace the IRP with another RP?**

A. 51%

B. 66%

C. 75%

D. 90%



Answer: B

Solution:

The CoC must decide by at least 66% of voting share whether to retain the IRP as the Resolution Professional (RP) or replace her with another Insolvency Professional. This ensures significant consensus among creditors.



Q. Which of the following is **NOT a required component of a resolution plan?**

- A. Amount payable to operational and financial creditors
- B. Detailed list of all shareholders of the corporate debtor
- C. Term of the plan and implementation schedule
- D. Demonstration of technical and financial feasibility

Answer: B

Solution:

A resolution plan must specify payments to creditors, the timeline and terms, feasibility, and management arrangements, among others. However, it is not required to provide a detailed list of shareholders.



Q. Within what time frame must the liquidator submit the Preliminary Report to the **Adjudicating Authority after the liquidation commencement date?**

- A) 30 days
- B) 45 days
- C) 75 days
- D) 90 days



Answer: C

Solution:

The Preliminary Report must be submitted within 75 days from the liquidation commencement date. This report includes details such as the corporate debtor's capital structure, estimates of assets and liabilities, and the proposed plan of action for liquidation.

Q. Which of the following **statements about Progress Reports is correct?**

- A) They must include only financial statements of receipts and payments.
- B) They need to detail the status of stakeholder settlements and property realization.
- C) They are required only once at the end of the liquidation process.
- D) They exclude information about litigation involving the corporate debtor.



Answer: B

Solution:

Progress Reports provide comprehensive information, including stakeholder settlements, details of property yet to be sold, distributions made, fees, litigation developments, and changes in estimated liquidation costs.





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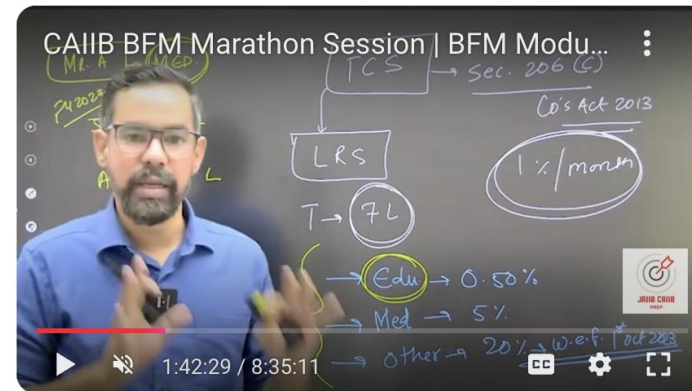
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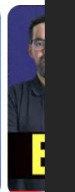
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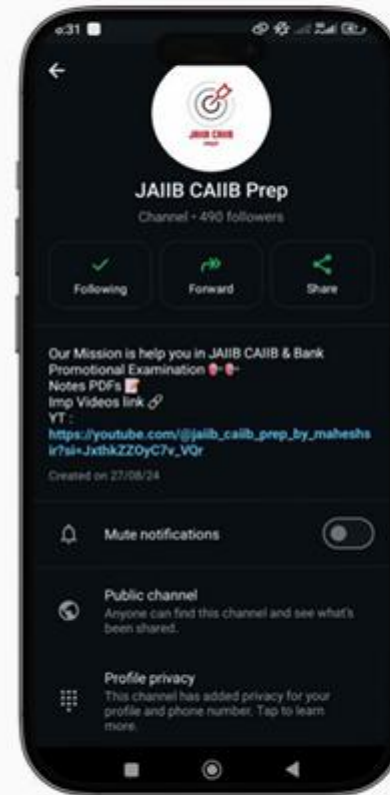


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